

ACME Manufacturing Inc. - Annual Report FY2024

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1. Chairman's Statement

Dear Shareholders,

Fiscal year 2024 was a transformative year for ACME Manufacturing. Revenue grew 15.4% to \$485.2 million, driven by expansion into European markets and the launch of our new automation product line.

However, we must be transparent about the challenges we face. Rising input costs, supply chain disruptions, and the cost of our strategic acquisitions have increased our leverage. Management has implemented a cost reduction program targeting \$40 million in annual savings.

We remain confident in our long-term strategy and the strength of our product portfolio.

2. Financial Highlights FY2024

Key Financial Metrics:

Revenue: \$485.2M (FY23: \$420.5M, FY22: \$365.1M)
Gross Profit: \$169.8M (FY23: \$158.5M, FY22: \$142.4M)
Operating Income: \$54.2M (FY23: \$58.9M, FY22: \$55.8M)
Net Income: \$38.7M (FY23: \$42.1M, FY22: \$40.3M)
EBITDA: \$78.5M (FY23: \$74.2M, FY22: \$68.9M)

Ratios:

Current Ratio: 1.1x (industry average: 2.0x)
Debt-to-Equity: 2.1x (FY22: 1.2x)
Net Profit Margin: 8.0% (FY22: 11.0%)
Return on Equity: 11.2% (FY22: 16.8%)
Interest Coverage: 2.4x (FY22: 5.1x)

3. Balance Sheet Summary

Total Assets: \$612.4M
Cash and Cash Equivalents: \$22.1M
Accounts Receivable: \$98.5M
Inventory: \$85.3M
Property, Plant & Equipment: \$310.2M
Intangible Assets: \$96.3M

Total Liabilities: \$418.7M
Accounts Payable: \$61.2M
Short-term Debt: \$85.0M
Long-term Debt: \$245.5M
Total Shareholders Equity: \$193.7M

4. Income Statement FY2024

Revenue: \$485,200,000

Cost of Goods Sold: \$315,400,000

Gross Profit: \$169,800,000

Operating Expenses:

Selling, General & Admin: \$89,600,000

Research & Development: \$26,000,000

Total Operating Expenses: \$115,600,000

Operating Income: \$54,200,000

Interest Expense: \$18,500,000

Income Before Taxes: \$35,700,000

Income Tax Expense: \$8,900,000

Net Income: \$26,800,000

EPS (Basic): \$2.68

EPS (Diluted): \$2.61

5. Cash Flow Statement FY2024

Cash Flow from Operating Activities:

Net Income: \$26,800,000
Depreciation & Amortization: \$24,300,000
Changes in Working Capital: (\$31,500,000)
Net Cash from Operations: \$19,600,000

Cash Flow from Investing Activities:

Capital Expenditures: (\$48,200,000)
Acquisition of Subsidiaries: (\$72,000,000)
Net Cash from Investing: (\$120,200,000)

Cash Flow from Financing Activities:

Proceeds from Debt: \$95,000,000
Dividend Payments: (\$8,400,000)
Net Cash from Financing: \$86,600,000

Net Change in Cash: (\$14,000,000)
Beginning Cash Balance: \$36,100,000
Ending Cash Balance: \$22,100,000

6. Related Party Transactions

The Company entered into the following transactions with related parties during FY2024:

1. ACME Holdings Ltd. (parent company, 51% ownership) - Management services agreement totaling \$3,200,000.
2. ACME Properties LLC (owned by the CEO) - Lease payments totaling \$4,800,000 for the Company's corporate headquarters.
3. Redwood Supply Co. (owned by a board member) - Raw material purchases of \$12,500,000, representing 8% of total raw material purchases.

Management believes these transactions were conducted at arm's length and in the normal course of business.

7. Subsequent Events

On June 15, 2025, subsequent to the fiscal year end, the Company received a notice from its primary lender indicating potential covenant violations related to its debt-to-EBITDA ratio.

The Company is currently in discussions with the lender to negotiate a waiver. If a waiver is not obtained, the Company's \$85 million short-term debt facility could become due on demand.